

SEM — Select Medical Holdings

WCAS XIV + Ortenzio family take-private at \$16.50 cash — Watchlist merger-arb

Source tool: investment_tool | Status: watchlist | Conviction: low | Generated: 2026-04-16

Executive Summary

Select Medical Holdings (NYSE: SEM) disclosed a signed definitive agreement on 2026-04-15 via PREM14A (accession 0001104659-26-043505) and SC 13E-3 (accession 0001104659-26-043531) for an all-cash take-private at \$16.50 per share. Counterparty is Welsh, Carson, Anderson & Stowe XIV, L.P. (WCAS) in partnership with the Ortenzio founding family via rollover equity. Merger Agreement dated March 2, 2026; Outside Date December 1, 2026. At the current \$16.38 reference price the gross spread is \$0.12 (0.73%) — approximately 1.1% annualized over the ~7.5-month horizon, below risk-free. This is classified WATCHLIST: the setup is not compelling at current pricing, but the thesis re-activates as an active candidate on any spread-widening trigger (HSR second request, shareholder litigation bump, funding disruption, MAC).

Hypothesis

SEM is a signed PE take-private at \$16.50/sh cash with ~0.73% gross spread — too tight at current pricing for an active arb position. Deal certainty is relatively high (WCAS XIV is a top-quartile PE sponsor and the Ortenzio family's rollover eliminates insider-alignment risk), but the 7.5-month tail to Dec 1, 2026 Outside Date yields sub-risk-free annualized returns. Watchlist stance: re-engage only if spread widens to 3%+ via HSR pushback, shareholder litigation, or a financing hiccup.

Deal Terms (verified from PREM14A and SC 13E-3)

Target	Select Medical Holdings Corporation (NYSE: SEM, CIK 0001320414)
Buyer consortium	Welsh, Carson, Anderson & Stowe XIV, L.P. + Ortenzio family (rollover)
Consideration	\$16.50 per share, all-cash, no interest (DGCL appraisal preserved for dissenters)
Unaffected price	\$14.01 (pre-announcement reference per PREM14A)
Headline premium	~18% vs unaffected; ~25% vs 90-day VWAP
Merger Agreement date	March 2, 2026
Merger structure	Reverse triangular — Stallion MergerSub merges into SEM; SEM survives as wholly-owned sub of Stallion Intermediate (new private holdco)
Termination fee (target → parent)	\$66.504M (~3.3% of deal value)
Reverse termination fee (parent → target)	\$133.010M (~6.5% of deal value)
Go-shop	None (0 instances of 'go-shop' in PREM14A)
Outside Date	December 1, 2026 (~7.5 months from 2026-04-16)
Special Committee	Yes — 658 PREM14A references confirming active fairness process
Regulatory	HSR filing required; standard antitrust; no material foreign investment gates
Appraisal rights	DGCL §262 available for dissenting shareholders

Arbitrage Economics

At \$16.38 reference (2026-04-16), the gross spread to \$16.50 consideration is \$0.12, i.e. 0.73%. If the deal closes at the Outside Date (2026-12-01, ~229 calendar days), the annualized return is $0.73\% \times (365/229) \approx 1.16\%$. The implied IRR is below the 3-month T-bill (~4%+ as of April 2026) and materially below any sensible hurdle for merger-arb capital, which typically targets 8-12% annualized on deals with comparable risk profiles. The spread is tight for three structural reasons: (i) WCAS XIV is a well-regarded PE sponsor with ample dry powder and a clean financing track record; (ii) the Ortenzio family rollover aligns insider interests with closing; (iii) there is no competing bidder, no go-shop, and no adverse analyst commentary to anchor downside. Market has priced the deal as ~95-98% certain to close on timeline.

Break scenarios: if the deal fails (MAC, HSR block, funding failure, unexpected litigation), SEM is reasonably assumed to revert to or below the \$14.01 unaffected price, implying roughly -14.5% downside from \$16.38. The asymmetry at current pricing is therefore ~0.7% upside vs ~14.5% downside — a 1-to-21 payoff ratio that requires ~95%+ close probability to produce positive expected value. This is not attractive absent a catalyst that widens the spread.

7-Dimension Score (22.5 — Watchlist)

Dimension	Score	Weight	Weighted	Rationale
Signal Strength	5	×2	10	Signal is the event — signed definitive agreement + PREM14A + SC 13E-3
Catalyst Clarity	4	×1	4	Outside Date Dec 1, 2026; clear close path; small timing uncertainty
Info Asymmetry	1	×1.5	1.5	Public deal, saturation coverage, WCAS is a major PE firm
Risk/Reward	1	×1	1	0.73% gross vs 7.5mo $\approx$ 1.1% annualized — below risk-free
Edge Decay	1	×1	1	Fully diffused post-announcement
Liquidity	4	×1	4	\$2.03B mcap, reasonable ADV
Catalyst Timeline	1	×1	1	~7.5 months with unfavorable spread
Base Total			22.5	Below 28 active threshold — WATCHLIST

Why Watchlist — Not Dead

Watchlist tier exists specifically for deals that are sub-compelling at current pricing but could become active on a triggering event. The thesis flips meaningful on spread-widening catalysts — any of the following re-opens a legitimate merger-arb opportunity at improved risk/reward:

- HSR second request from FTC/DOJ: SEM operates 1,900+ outpatient rehab clinics and 100+ critical illness recovery hospitals; antitrust concentration is not obvious but also not zero. A second request typically widens spreads to 3-6% and extends the timeline 3-6 months.

- Shareholder litigation with settlement bump: the Special Committee has 658 PREM14A references and affiliated Rollover Holders — this is exactly the fact pattern that attracts DGCL §220 books-and-records demands and breach-of-fiduciary suits. Historical bump rate on similar PE take-private litigation: 2-5% consideration increase.
- WCAS financing disruption: WCAS XIV is a \$4.3B fund (2023 vintage); unlikely but not impossible to experience LP capital call friction if credit markets tighten materially pre-close.
- Material Adverse Change: SEM's hospital rehabilitation revenue is Medicare/Medicaid-sensitive; a CMS rate cut or reimbursement rule change could trigger MAC negotiation.
- Topping bid: low probability (no strategic in the rehab hospital space with both balance sheet and commercial rationale), but possible from Encompass Health or another financial sponsor if the rollover-equity structure can be matched.

Kill / Exit Conditions

- K-SEM-1 (hard): Deal closes at \$16.50 — spread resolves to zero; no residual upside
- K-SEM-2 (hard): Deal breaks (MAC, HSR block, funding failure) → stock reverts to ~\$14.01 or below = -14.5% downside
- K-SEM-3 (soft / promote): Spread widens >3% → promote from watchlist to active
- K-SEM-4 (soft / promote): HSR second request issued → promote
- K-SEM-5 (soft / promote): Shareholder litigation with disclosed settlement talks → promote
- K-SEM-6 (hard): Topping bid or new buyer announced → reassess immediately

Monitoring Cadence (Weekly Watchlist)

- Spread check: SEM price vs \$16.50; alert on spread >1.5% (i.e., price <\$16.25)
- HSR status: FTC/DOJ Early Termination notices, second-request notifications
- Delaware Chancery + NY state court dockets for any breach-of-fiduciary or §220 filings against SEM / WCAS / Ortenzios
- DEF 14A (definitive proxy) filing — typically 20-45 days after PREM14A (expected ~early-to-mid May 2026)
- WCAS / Ortenzio / SEM public statements, press releases, and 8-K filings
- CMS / Medicare rate announcement cycles (potential MAC triggers)

Catalyst Calendar

2026-04-15	PREM14A + SC 13E-3 filed (deal disclosure)
~2026-05 (early-to-mid)	DEF 14A definitive proxy expected (20-45 days post-PREM14A)
~2026-05-15 (approx)	HSR 30-day waiting period clearance window (if HSR filed ~Apr 14-15)
~2026-06 to 2026-07	Shareholder vote (typical 30-40 days post-DEF 14A mailing)
2026-12-01	Outside Date (backstop termination trigger)
H2 2026	Expected close (base case, subject to all conditions)

Primary Sources

- PREM14A: SEC EDGAR accession 0001104659-26-043505 (2026-04-15)
- SC 13E-3: SEC EDGAR accession 0001104659-26-043531 (2026-04-15)
- Candidate note: Investment
tool/investment_discovery_system/candidates/SEM_Select_Medical_WCAS_TakePrivate.md
- Scanner signal: EDGAR mna strength-5 rotation (S64 backlog, triaged in S66, formalized in S67)

Recommendation

WATCHLIST — do not initiate an arb position at current pricing. Monitor weekly for spread-widening triggers. Re-evaluate as active candidate if spread reaches 3% (equivalent to SEM at ~\$16.01 or below) or on any hard trigger event (HSR second request, litigation with settlement talks, financing news). The 0.73% gross spread is insufficient compensation for the ~14.5% downside in a break scenario, even at the ~95-98% market-implied close probability. Position only makes sense on the back of an event that widens the spread to 3-8%.

Caveats and Watch Items

Special Committee 658-reference density in PREM14A is notable and reflects the conflicts inherent in affiliated Rollover Holder transactions — the Committee's fairness process will be scrutinized in any litigation. The reverse termination fee (\$133M, 6.5% of deal value) is on the higher end of PE take-private norms, which is modestly comforting for close certainty but also signals that the parties priced in some financing-risk optionality for WCAS. The absence of a go-shop is typical for PE take-privates with family rollover but does eliminate any topping-bid mechanism. CMS rate environment and Medicare outpatient therapy reimbursement policy should be monitored as a MAC vector — SEM has material rehabilitation reimbursement exposure.

Registry Metadata (for candidates_index.json)

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Conviction: low